

Most of India is still ATMnirbhar

The **reason** for higher ATM interchange fees, which RBI announced earlier this week, **is** that growth in the segment is slowing down **precipitously**. Interchange fees are what banks pay each other for the use of ATMs. The change **takes place** from May 1. Bank mergers have **led to a de-duplication drive** among individual ATM networks. Banks are moving to a model of operating two ATMs per branch, one of which is onsite. This is designed to **funnel** more money through available ATMs to make them financially **viable**. It does not matter as much in **dense urban clusters**, but makes its impact felt in rural banking where the need for cash is relatively high, and ATM density is low. Higher interchange fees could help **stabilise** ATM numbers by improving their profitability.

The flip side of higher fees **would** be to encourage cashless transactions. The **limits** on free transactions **have** been retained in the interests of customer service, but the **deterrence** of higher fees should influence consumer behaviour. ATM numbers have been **dwindling** while the **share** of cash in circulation **has** been rising. Online payments are **facilitated** by publicly funded digital infra, but banks **incur** costs in **setting up** and maintaining ATM networks. The policy **support** for cashless transactions **influences** banks' approach to ATMs but they need a critical mass of these machines for normal banking operations.



The need to hold cash is affected by the size of India's **informal economy**. The **pace** of economic growth **raises** transaction demand for cash. **Factors** like inflation and interest rates, which **tend to depress** cash holdings, **are offset** by the level of **financial inclusion**. India has a **considerable** demand for cash that is **served** in a **cost-efficient** manner by ATMs. The business **model** of making ATMs pay for themselves **can** be **limiting** if transaction pricing is not market-driven. India is not anywhere near the **tipping point** where cashless transactions dominate economic activity. It needs to **keep** privately funded ATM networks **in play** for a while longer.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

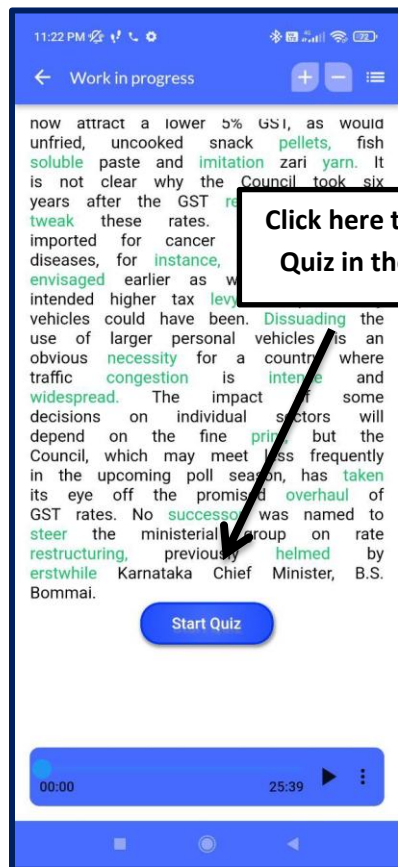
1. **Precipitously** (adverb) – Sharply, Steeply, Suddenly, Abruptly, Dramatically
अचानक/तेजी से
2. **Take place** (phrase) – Occur, Happen, Transpire, Materialize, Come about घटित होना
3. **Lead** (to) (verb) – Result in, Cause, Bring about, Trigger, Generate वजह बनना
4. **De-duplication** (noun) – Elimination of duplicates, Consolidation, Merging, Streamlining, Optimization डुप्लीकेट हटाना
5. **Drive** (noun) – Campaign, Initiative, Effort, Push, Movement अभियान
6. **Funnel** (verb) – Channel, Direct, Route, Steer, Convey संचालित करना
7. **Viable** (adjective) – Sustainable, Feasible, Workable, Practical, Profitable टिकाऊ
8. **Dense** (adjective) – Crowded, Packed, Thick, Concentrated, Busy सघन
9. **Urban cluster** (noun) – a contiguous area with a dense population and intensive internal socio-economic connections, encompassing both the core urban area and surrounding areas that interact closely with it शहरी क्षेत्र
10. **Stabilise** (verb) – Balance, Steady, Sustain, Secure, Maintain स्थिर करना
11. **The flip side** (noun) – Opposite aspect, Downside, Counterpart, Reverse, Other side दूसरा पहलू
12. **Deterrence** (noun) – Discouragement, Disincentive, Hindrance, Obstacle, Prevention निवारक
13. **Dwindle** (verb) – Decline, Diminish, Shrink, Reduce, Wane घटना
14. **Facilitate** (verb) – Enable, Ease, Assist, Promote, Smooth सुविधाजनक बनाना
15. **Incur** (verb) – Bear, Sustain, Experience, Acquire, Assume झेलना
16. **Set up** (phrasal verb) – Establish, Install, Arrange, Build, Launch स्थापित करना
17. **Informal economy** (noun) – the part of any economy that is neither taxed nor monitored by any form of government. अनौपचारिक अर्थव्यवस्था
18. **Pace** (noun) – Speed, Rate, Tempo, Momentum, Progress गति
19. **Tend** (to) (verb) – Incline, Lean, Favor, Gravitate, Be prone प्रवृत्त होना
20. **Depress** (verb) – Reduce, Lower, Diminish, Suppress, Weaken कम करना

21. **Offset** (verb) – Counterbalance, Compensate, Neutralize, Balance, Cancel out भरपाई करना
22. **Financial inclusion** (noun) – It means that everyone has access to affordable financial services, such as banking, savings, credit, and insurance वित्तीय समावेशन
23. **Considerable** (adjective) – Significant, Substantial, Large, Ample, Notable काफी
24. **Service** (verb) – Maintain, Operate, Support, Manage, Cater to सेवा प्रदान करना
25. **Cost-efficient** (adjective) – Economical, Budget-friendly, Affordable, Efficient, Value-based लागत-कुशल
26. **Limit** (verb) – Restrict, Cap, Constrain, Curb, Confine सीमित करना
27. **Tipping point** (noun) – Turning point, Critical juncture, Breaking point, Threshold, Climax निर्णायक मोड़
28. **Keep in play** (phrase) – Sustain, Maintain, Continue, Preserve, Retain जारी रखना

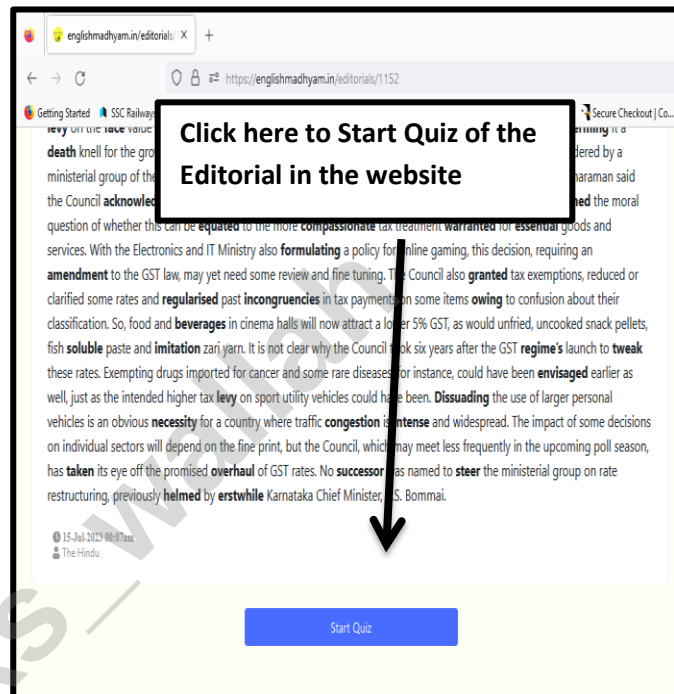
Summary of the Editorial

1. **RBI's ATM Fee Hike:** The RBI increased ATM interchange fees to address slowing growth in the ATM segment.
2. **Interchange Fees Explained:** These are charges banks pay each other for ATM usage, effective from May 1.
3. **Bank Mergers Impact:** Consolidation has led to fewer ATMs as banks eliminate duplicate machines.
4. **New ATM Model:** Banks now prefer two ATMs per branch (one onsite) to improve financial viability.
5. **Urban vs. Rural Divide:** The strategy affects rural areas more due to high cash demand and low ATM density.
6. **Fee Hike Rationale:** Higher fees aim to stabilize ATM numbers by boosting profitability.
7. **Cashless Push:** Increased fees may encourage digital transactions, though free transaction limits remain.
8. **Declining ATMs:** ATM numbers are falling despite rising cash circulation.
9. **Digital vs. ATM Costs:** Public digital infrastructure supports cashless payments, but ATMs remain costly for banks.
10. **Policy Influence:** Government support for cashless transactions affects banks' ATM strategies.
11. **Cash Demand Drivers:** India's informal economy and economic growth sustain high cash usage.
12. **Inflation & Interest Rates:** These typically reduce cash holdings but are offset by financial inclusion efforts.
13. **ATM Efficiency:** ATMs remain a cost-effective way to meet India's cash demand.
14. **Business Model Challenge:** ATMs must be self-sustaining, but rigid pricing limits their growth.
15. **Cash Still Dominates:** India is far from a cashless economy, requiring privately funded ATMs for now.

Practice Exercise: Banking Pattern Based



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